

different sources like corporations, labs, universities and foundations. “To create a real ecosystem for a new sector, you need different types of capital. Avaana focusses on providing equity capital for a start-up enterprise’s growth and scaling. Patient risk capital, required to support creation of new science, comes from foundations and most large corporations are now looking to invest here,” she says.

However, a majority of climate-tech funding goes to EVs, micro-mobility and other transit models, and not to tech that is directly cutting emissions. According to PwC, less than 20 per cent of funds go to critical areas—solar, wind and hydrogen energy, food waste technology, and alternative foods/low greenhouse gas proteins—that represents over 80 per cent of the emissions reduction potential.

Why are VCs not backing technologies that have a more direct impact on emissions? The answer lies in the strict fund lifecycles and return expectations of VC funds, making it tough for them to find alignment with climate tech, which needs a larger gestation period.

“If 100 per cent of a VC’s fund comes from LPs whose only goal is carbon mitigation, and nothing else, you have the perfect alignment between your LP, who is your investor, and general partner (GP) who is managing the fund. But VC funds have multiple LPs—regular investors who expect a return of 20-25 per cent IRR (internal rate of return). The challenge, then, is investment philosophy—maximum carbon mitigation potential versus maximum returns potential,” Menon says. He adds that as the game moves towards high carbon-mitigation-potential heavy industries like steel, cement and chemicals, commercial IRR and carbon mitigation will be high, too.

Moily, on the other hand, says that NFC is structured as a 12-year fund, unlike typical 8-10 year VC



“To create a real ecosystem for a new sector, you need grant capital, which is the patient risk capital required to support creation of new science”

ANJALI BANSAL
FOUNDER, AVAANA CAPITAL



“If a VC’s funds come from LPs whose goal is carbon mitigation, there is perfect alignment between the LP and GP. But VC funds have multiple LPs, who expect a return of about 20-25 per cent IRR”

SHYAM MENON
PARTNER & CO-FOUNDER,
BHARAT INNOVATIONS FUND



“Climate-tech firms need a longer gestation period, so it will take a good while to build large businesses in this segment, but we are getting there”

HARSHA MOILY
FOUNDER, NATURE FIX
CLIMATE (NFC) VENTURES

fund lifecycles, to accommodate the longer gestation period required for climate-tech ventures to reach commercialisation.

“For them (VC investors) to make a start, there are enough innovations out there. It’s just that they need to be patient, and understand that going from proof-of-concept to commercialisation can take anywhere between two to 10 years, depending on the type of the problem area,” says Mainak Chakraborty, Director and CEO of GPS Renewables. The bio-energy tech firm has raised close to \$20 million in equity capital from a slew of investors including Neev II Fund managed by SBICap Ventures, the Netherlands-based Hivos-Triodos Fund, and Hyderabad-headquartered Caspian Impact Investments.

Despite the large opportunity present today, the clean-tech boom that went bust about a decade ago still makes investors jittery, especially as the world is facing another potentially harsh financial crisis. This time around though, investors are cautiously optimistic. Unlike the previous cycle, the tech solutions are asset-light businesses, and investors are mostly backing market-ready business models. There is a strong commercial need for such products as consumers today are more aware. Policymakers and businesses, too, are making genuine sustainability commitments.

“When we start seeing returns being generated from investments, we will see a lot more VC and PE capital coming into this space. We are just at the beginning of that journey, which is why I say, sustainability is the next digital. What we saw in digital in the last 20 years, we will see in sustainability for the next 20 years. It is just the beginning,” says Bansal, optimistic about the future of climate tech. **BT**

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